

own petard”—proved not only eerily prophetic, but surprisingly timely. The industry has been blown up by its own dynamite.

Sure enough, in July 2007, just two months after my speech, the financial sector—led, as it were, by Citigroup and investment banks Merrill Lynch and Bear Stearns—began to crumble, as the risky, reckless, complex, and costly debt instruments that its firms created began to come home to roost. Enormous write-downs in balance sheet valuations followed. By mid-2008, those write-downs in the aggregate totaled an astonishing \$975 billion, with more to come.

Wresting a Living from Finance

In my speech at Georgetown, I noted that during 2006 the financial sector alone accounted for \$215 billion of the \$711 billion in earnings of the 500 companies that make up the S&P 500 Stock Index—30 percent of the total (and perhaps 35 percent, or more, if we included the earnings of the financial affiliates of large industrial companies, such as General Electric). The domination of financial companies in our economy and our stock market has been extraordinary. The earnings of these financial firms *alone* totaled more than the earnings of our highly profitable energy and technology companies *combined*, and about *three times* the earnings both of our booming health care sector and of our giant industrial firms.

By the time 2007 had ended, financial sector earnings had plummeted by almost half, to \$123 billion for the year. Not only had financial sector earnings shrunk from 30 percent to 17 percent of the \$600 billion earnings total of the S&P 500 companies; the sector also accounted for fully 90 percent of the S&P 500 decline in earnings for the year. The carnage has continued during 2008. Call it poetic justice.

But is it? The clients of the banking firms have lost hundreds of billions of dollars in the risky debt obligations that the banks created, and layoffs of employees are rife—more than 200,000 financial sector workers have already lost their jobs—yet most investment banking executives continue to be paid at astonishingly high levels.